Revision Date:
July 1, 2024

Background:
Under the Semi-Annual Reporting (SAR) system, customers are required to report only certain changes mid-period.

Purpose:
This section provides instructions for evaluating any mandatory reported changes and if any mid-period action is required. The purpose of this revision is to incorporate changes to the continuing Financial Eligibility Test regulations. If the Net Non-Exempt Income (NNI), instead of the gross income, is reasonably anticipated to continue and exceeds the Tier 2 Income Reporting Threshold (IRT), the Assistance Unit (AU) is financially ineligible. This section is also being renumbered from CalWORKs Program Guide (CPG) 44-270.G to CPG 44-270.C. Section CPG 44-270.G becomes obsolete with the issuance of this material.

Policy:
Mandatory Reporting
All CalWORKs customers are required to report the following changes within **10 calendar days** of the date the change becomes known to the AU:

- When income exceeds the IRT.
- When an AU member has a change in fleeing felon status.
- Violations of conditions of probation or parole.
- Residence/address changes.

AUs that include a pregnant person are required to report when a pregnancy ends prior to the estimated delivery date, not resulting in the birth of a child within **30 calendar days.** This is a requirement for both Pregnant Person Only (PPO) AUs and AUs that include a pregnant person with other eligible children.

Note: If the AU reports mid-period that income exceeds the IRT due to income of a new household member, then no mid-period action will be taken to decrease or discontinue CalWORKs since the report of income over IRT is based on a new household member and a voluntary report.

Mid-period reports may be made in writing, by fax, online via email, by phone, or in-person to designated staff or at a Family Resource Center (FRC). Customers may also provide a *Mid-Period Status Report* (SAR 3) to report a change.

Income Reporting Threshold
The IRT is an income level that informs the AU when they are mandated to make a mid-period report of an increase in income.

AUs with only unearned income, including disability-based unearned income, are not required to report mid-period when their income exceeds the IRT.

AUs with earned income are required to report within 10 days when their total combined gross monthly income (earned and unearned) of all the members in the Family Maximum Aid Payment (MAP) exceeds the IRT. Income that must be reported includes:

- Income for penalized, excluded, and timed-out individuals.
- Income of individuals who are not in the AU but are included in the determination of eligibility.

If the AU receives:

- Earned income only or a combination of earned and unearned income, then the AU is required to report within 10 days when their household's total income exceeds the IRT.
- Unearned income only or no income, then the AU is required to report within 10 days only if they receive new earnings that would exceed the IRT when combined with other household income.
  Note: New unearned income is not required to be reported mid-period.

Failure to make a timely report of income that exceeds the IRT may result in an overpayment per CalWORKs Program Guide (CPG) 44-350.A *Overpayment*. If the failure to report income was done knowingly and intentionally, the customer may be subject to fraud prosecution, financial penalties, and potential disqualification from CalWORKs, as described in CPG 44-350.J *Intentional Program Violation (IPV)*.

Nonrecurring lump sum income is treated as property in the month received and for any subsequent months per CPG 44-100.A *Income Definitions*. Customers are not required to report mid-period when nonrecurring lump sum income is received.

Two-Tiered IRT System

The CalWORKs IRT will vary for each family due to the two-tiered system, which is used for both Annual Reporting/Child Only (AR/CO) and SAR AUs. A report of income over the IRT may result in either a mid-period decrease or discontinuance of CalWORKs.

Effective June 1, 2020, the CalWORKs IRT is the lesser of the following:

- **Tier 1**: 55% of the Federal Poverty Level (FPL) for a family of three (regardless of the actual AU size) plus the amount of gross income last used in the CalWORKs benefit determination.
- **Tier 2**: 130% of the FPL – The level likely to make a household ineligible for CalFresh benefits based on the household size:
  - The CalWORKs cases may remain open with a zero-basic-grant (ZBG), refer to CPG 44-300.D, if the AU's NNI remains below the Tier 2 IRT amount. ZBG cases remain eligible for supportive services and/or CalWORKs special needs.
  - If the reasonably anticipated NNI will continue to exceed the Tier 2 IRT for the remainder of the payment period, the AU is determined to be financially ineligible and is to be discontinued at the end of the month in which timely and adequate notice can be provided.

Refer to CPG 45-200 *Resources and Desk Aids - CalWORKs Assistance Standards Chart* for current IRT levels.

Fleeing Felon Status and Parole/Probation Violations

Customers are required to report within 10 days when it becomes known that a member of the AU:

- Becomes a fleeing felon.
- Violates a condition of parole or probation.

Procedure:

CalWORKs Processing Guide 44-270.C1.

Impacts:

None

References:

- ACL No. 12-25, 13-109, 14-100, 15-92, 19-76, 19-76E, 21-140, 23-96.
- ACIN No. I-02-16.

Sunset Date:

This policy will be reviewed for continuance by July 31, 2027.

Approval for Release:

7-26-24

Rick Wanne, Director
Self-Sufficiency Services